

Acquisition.com

\$100M Playbook: Branding

*How to Make Anyone or
Anything Famous on Purpose*

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Table of Contents

Branding.....	3
What Branding Is NOT	5
Learning and Behavior Change.....	6
Branding As I See It.....	6
What's the difference between branding and advertising?	7
Case Study: Kendall Jenner x Pepsi.....	10
Deeper Understanding of Branding.....	12
Translating Brand Into Sales.....	14
Big Brand = Big Profits.....	17
How to Start, Grow, then Pivot Your Own Brand.....	19
Step 1) Figure Out Who Your Ideal Customer Is.....	19
Step 2) Figure Out What They Like	21
Step 3) Associate Your Brand With Relevant Things They Like.....	22
Step 4) Optimizing Your Associations For Max Profit.....	25
One Page Branding Checklist.....	33

Big Brand

Those who can't brand, do direct response. Those who can't do direct response, sell. Those who can't sell, stay poor.

“Dude, why don’t you just use my supplement company,” I asked.

“I don’t know. I definitely should. You guys pay way better and I know Dr K made insane formulations.” my friend said.

“Right. What’s the issue?”

“Nothing. I’ll swap my stuff out later this week.”

next time I see him a few months later

“I didn’t see you on the affiliate roster. Something happen?” I asked.

“No, I’ve been meaning to. I just haven’t gotten around to it,” he replied.

“Dude you can swap in 5 minutes and it’ll 4x your income.”

“I know, I know. I’ll get around to it.”

next time I see him a few months later

The same conversation.

next time I see him a few months later

The same conversation.

It took me a while to figure this out. But when I started my supplement business, I thought I was in the “product” business. I thought I had to make the product with the best ingredient profile from the best scientists in the world. Price it in a way where there was a profit. Then sell it. And I had done that. I had the strongest legal blends. My manufacturer even told me “This is the most expensive line I’ve ever made.”

The problem was, I thought that was enough. It wasn’t. My friend at the time had a medium sized audience and was doing something in the neighborhood of \$40,000 per month

in affiliate commissions from a large international brand that was only paying 10-20% commissions. *We paid 40% and our stuff was better.*

I tried to sell him the way I'd want to be sold *with the dollars and cents*. But what took me too long to realize was - he was also getting something else from the other company my products didn't deliver- cool factor. The other company was *cool*. My supplements weren't. I had put my entire budget into commissions and product, but none into building a brand people would think was cool.

And so even a close friend of mine, who would immediately make another \$500,000+ per year by selling my products to his audience, wouldn't switch. And as humbling as that was, it showed me what I was missing. *I didn't know how to build a brand.*

Branding

“You only get one name. Invest accordingly.”

You can only increase the value of a business by:

- 1) Getting more customers
- 2) Making them worth more
- 3) Making sure that it keeps happening well into the future.

And the only way that I know of to make all three happen, for the lowest cost, over the longest time horizon is one word: branding.

If you would like to:

- **Lower CAC (more customers for less):** Convert a higher percentage of customers from advertising. Branding gets you customers at fractions of your competition pays *consistently*. Established brands also guarantee sales of new products right out the gate.
 - Ex: Dwayne Johnson aka “The Rock” can have millions of customers on any new product he launches, *day one*.
- **Raise LTV (make customers worth more):** Charge 2x, 5x, or 10x more than your competition for the exact same thing
 - Ex: Starbucks charges \$5 for coffee when other places charge \$1 for.
- **Lower Risk (have it never stop):** Have customers buy from you over and over again without considering competition.
 - Ex: Once you’re a “Mac” user, you tend to only buy Apple products for life.

And if these three benefits don’t sell you on it, I don’t know what will. After all, these three outcomes are the only three things that matter in growing a business. To tell you the truth. I wasn’t. As embarrassing as it sounds...

It Took Me A Decade To Figure This Out...

I couldn't figure out how these brands, these companies, were able to do this - demand these prices, get people to stay loyal for a really long time. I felt like for me, I always had to beg, borrow, and promise the world. I had to squeeze and push so hard just to get people to buy, whereas these mega companies made it look effortless.

The thing is, even people who claim to understand it often don't, and the few who do understand it do a terrible job teaching it. This definitely isn't going to be Marketing 101 class on branding, presentation, colors, and logos. And this definitely isn't going to be about feelings, presence, intuition, or whatever. This is about making money.

Branding is how I built a 10.1 million person audience across all these platforms in the past 4 years or so. I sold over a million copies of my last two books and earned deals worth hundreds of millions of dollars in our holding company, Acquisition.com. That is why you build a brand, or at least that's why I built mine.

This playbook will cover four things:

- 1) What branding is (if you don't know what it is, you certainly can't build one)
- 2) Why it makes money
- 3) How to start and grow yours
- 4) How to change it over time

With that being said, let's dive in.

What Branding Is NOT

You have to know what it is if you want to know how to build one

When I decided to build a brand, I looked at what many popular marketers said about it.

- A brand is a person's gut feeling about a product, service, or organization.
- A brand is a person's gut feeling, because brands are defined by individuals – not companies or markets.
- A brand is a gut feeling because people are emotional, intuitive beings.
- A brand is not what you say it is, it's what they say it is.
- A brand is the set of expectations, memories, stories and relationships that, taken together, account for a consumer's decision to choose one product or service over another.
- A brand is emotional shorthand for accumulated or assumed information. A brand is present when the value of what a product, service, or personality means to its audience is greater than what it does for the audience.
- A brand is a product, service or concept that is publicly distinguished from other products, services or concepts so that it can be easily communicated and usually marketed.
- Branding is the process of creating and disseminating the brand name, its qualities and its personality.
- The promotion of a particular product or company by means of advertising and distinctive design.

Many of them *describe* brand. But none of them gave concrete actions to *create a brand*. After reading them, I still didn't know what to do.

After looking at all these marketers' words, I think I pieced together what you need to actually *do* to build a brand. At least, enough that once I started, my brand grew, and *it grew fast*.

The reason this is so important is that if you don't know what to do, nothing's going to change. Fundamentally, if you don't change your behavior, obviously nothing's going to change as a result.

Learning and Behavior Change

Learning means: *same condition, new behavior.*

Imagine I want to teach my front desk person a skill. Currently, she doesn't greet people with a smile, welcome them, or ask them how she can help. So, the current condition is - people walk in and she barely looks up from her computer, and then when they get to the lobby desk she just stares blankly at them. That is the **condition**.

So, the next time someone walks in *same condition*, I need her to learn a *new behavior*. I want her to greet guests with a smile and say "Welcome to Acquisition.com, how can I help you?"

If I tell her to do that, practice it by me walking through the front door and her standing up, smiling and saying "Welcome to Acquisition.com, how can I help you?" then someone new walks in, and she does new thing...*she learned*. On the other hand, if the next time someone walks in, and she does the old thing. She didn't learn.

That's why none of those helped me much. *I didn't know what I had to do!* So, they didn't teach me anything.

My goal is that you can use this as a litmus test for yourself with all educational content you consume, but specifically with this one. If by the end of this booklet, you change your behavior, then you learned. If you don't, then this was a waste of time.

Branding As I See It

Branding means pairing two or more things together. And to be clear, branding *occurs* all the time. Consumers constantly pair us with things. In other words, they associate us with things we say, do, appear next to, what we look like, etc. But this definition doesn't tell us how to do it well, so let's cover that.

Good branding means pairing your business with something a majority of your ideal audience *likes*.

Bad branding means pairing your business with something a majority of your audience *dislikes*.

No branding means exactly what it sounds like. Exposure results in them behaving as normal. You're practically invisible.

So let's talk about the first uses of a brand and branding to see this in action. The first entrepreneurs who used branding to make money were cattle herders. They would literally brand livestock. They would heat up metal, they'd sear it into the side of a cattle, and they would get a lovely little logo. Maybe we'll have a Nike Swoosh cow someday. And those symbols had an effect. They changed people's behavior.

No Brand. Let's say you're walking around and you see a cow with no brand. You say, «Hello, cow.» The cow says, «Moo,» and it has nothing on it. This is just a cow. You might leave it alone, and that might be it. (*See Advanced Note)

On the other hand, let's say the cow has a brand you recognize. Say it's your neighbor's. You might be like, «Hey, that's Bill's cow.»

Good branding. Now, if you like Bill, you might grab the cow and pull him by whatever you pull cows by and probably return it to Bill.

Bad branding. If you hate Bill, then the cow may stay lost in the wilderness forever and become lunch for your family for the next month or two in the form of delicious burgers.

But either way, for better or for worse, the brand affected what you did. It affected your behavior.

Advanced Note: Testing Your Understanding

What if you see a branded cow but you don't recognize the brand? You might be like, «Who's cow is this? I see a logo, but I don't know anything about it.» Well, then you would treat it how you treat branded animals *in general*, in that you just know that it belongs to someone. And so you would treat it the way that you treat it as *though it belonged to anybody else*. So there would be a difference between a no logo cow and a brand you didn't recognize.

What's the difference between branding and advertising?

Advertising is letting people know about your stuff. Branding is *what* you let them know in the advertisement. Advertising lets people know that the cow belongs to someone. Branding lets them know the cow belongs *to you*. In other words, you don't want them to buy

products *like yours*, you want them to buy *your products*. Branding lets them know they buy from you (*and the relative value of you*).

This means you can have great advertising and poor branding, or great branding and poor advertising, and any combination thereof. You can see it below.

	BAD BRANDING	GOOD BRANDING
GOOD ADVERTISING	EVERYONE KNOWS You SUCK	EVERYONE KNOWS You ROCK
BAD ADVERTISING	NO ONE KNOWS You SUCK	NO ONE KNOWS You ROCK

Now, good and bad are vague terms. So let's make it crystal clear.

Measuring Brand

- 1) INFLUENCE
- 2) DIRECTION
- 3) REACH

To know how you're doing, it's good to have objective measures. I measure brand with two variables, and I measure advertising with one. As a reminder, advertising is letting people know about your stuff and branding is the pairing that happens as a result.

I measure advertising by how many people know about my stuff. Good advertising means *everyone knows about my stuff*. Bad advertising means *no one knows about my stuff*. Simple.

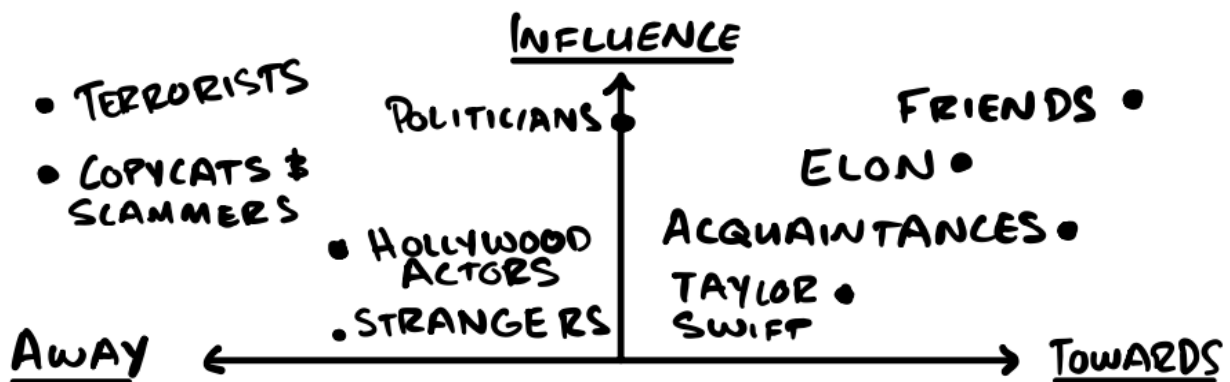
You'll sometimes hear me refer to this as **reach**. It means the output of advertising - aka - the amount of people who know about my stuff. A brand can't exist without it, so reach is the primary element of a brand.

I measure branding with two variables: influence and direction. **Influence** refers to , the chance it changes behavior when they see it. **Direction** refers to *how* their behavior changes—towards or away. And this depends on the target audience. Because something that creates a 'towards' reaction in one audience creates 'away' reactions in another. There's no simpler example than politicians.

For some people, a liberal politician creates 'towards' behavior - aka they love them. And for another group of people, that same politician creates 'away' behavior - aka - they hate them.

So does the politician have a good brand? Answer: *it depends on who you ask*. But, we can agree that political parties have a *strong* brand because of their influence. In other words, it has a high likelihood of changing people's behavior in one direction or another. Some people see a politician's face and immediately want to throw food at the television. Others send them money to support them. High influence. Both strong, just different directions.

Here's a visual of a few people categorized by their relationship to the brand elements *for me*. This creates eight possible brand positions. And one brand can occupy any of these positions depending on who you ask.



I'll do this exercise using myself as an example.

- 1) *High reach. Low Influence. Towards* - Taylor Swift. In general, I think she's good but probably won't buy much of her stuff.
- 2) *High reach. High Influence. Towards*. - Elon Musk. I own two Teslas. Use Starlink.

And in general support whatever he does because I think he's good for the world and makes great products.

- 3) *High reach. High Influence. Away.* - Terrorists. I am strongly opposed to them.
- 4) *High reach. Low Influence. Away.* - Hollywood actors. In general, I find them whiny and entitled. So I'm less likely to support them generically.
- 5) *Low reach. High influence. Towards.* - My close friends. They don't have big reach, but they have stronger influence over me.
- 6) *Low reach. Low influence. Away.* Stranger in the street. They don't have big reach, and they don't have much influence, but in general, I avoid them.
- 7) *Low reach. High influence. Away.* Copycats & scammers. Most people haven't heard of them. But I have strong influence *away* from them.
- 8) *Low reach. Low influence. Towards.* Acquaintances. Not many people know them. But in general, I'm inclined to support them.

All these people have brands. And they measure the success of their brands differently. For us, as business owners, we can measure with money. This simplifies how we know we're doing a good job.

Good branding means your audience likes *and* buys. Bad branding means the people in your ideal audience hate it and...don't.

Case Study: Kendall Jenner x Pepsi

Image taken from the infamous ad of Jenner handing a police officer a can of Pepsi during a protest.

Pepsi ran an ad featuring Kendall Jenner handing a police officer a Pepsi during a protest. They received immediate backlash and took the ad down within six days.

So it was good advertising but bad branding. Many customers hated this pairing. Lots of people found out (good advertising), but a lot of people hated it (bad branding). And as a result, fewer people bought the product, which netted a loss for the business.

People get upset about all sorts of things. But the only thing that mattered for Pepsi was its sales suffered. And in my opinion, with their audience of *everyone*, they made a bad pairing. They paired their brand with something the majority of people don't find refreshing and joyful: protests. This actually had very little to do with Jenner, and everything to do with protests. But we can say one thing for sure, more people saw it because it included Jenner. For that reason, she could have likely done a different ad with Pepsi and it would have been a success.

Author Note: “There’s no such thing as bad publicity.”

Good beats bad. Bad beats none. Lots of good beats everything.

I’d like to put this debate to rest. There is absolutely such a thing as bad publicity. It’s just that *any* publicity is better than *no* publicity. But *good* publicity is certainly better than *bad* publicity. Fundamentally the saying distorts two different measurements. Advertising (which people say publicity in the common saying) and branding (where they say good or bad).

If everyone in the world finds out something “bad” about you, then you’ll still be likely to make more sales than if no one knows you exist. And the reason for that is, almost nothing is viewed as ‘bad’ to 100% of people. So, if R Kelly somehow got out of prison, and released some sort of product, he would still make more money than someone who had never been heard of to begin with. But, if everyone in the world found out something good about you, you’d certainly be more likely to make money than the reverse.

So the saying really should be “*Any publicity is better than no publicity, but good publicity is better than bad.*” Okay. Rant over.

Author Note: “You Have To Be Polarizing”

Many people think strong brands must be polarizing, with lots of lovers and haters. This isn't always true. Sure, if everyone knows you, some will hate you - there are always crazies. But can a brand be strong without being polar?

Take Donald Trump - he's a polar brand. People recognize him instantly (big reach) and react strongly (influence), positively or negatively (direction).

But, you don't have to be polar to build a strong brand. I'll prove it to you. Just look at brands like Taylor Swift. She changes behavior positively for most people. Mother Teresa and Apple are other examples of strong, positive brands. They're widely recognized and liked. You don't need controversy to build a strong brand - you can be widely positive. Make promises that serve a large audience, and keep them.

When you sell a product polarization occurs whether you want it to or not. Selling polarizes people. Deliberately trying to “polarize” interferes with doing business - Just focus on getting people to buy your stuff. If you do that, you'll probably sell more of it. This is the way.

Deeper Understanding of Branding

The better you get at this, the more money you will make. So, let's go deeper.

To *some* people, the protest pairing was actually good. For everyone else, it was bad. All pairings have positive and negative results because everyone has different preferences.

But for a business, you can see if a pairing was good or bad. Did you make more money or not? The Kendall Jenner pairing repelled enough people that it lowered sales. This isn't opinion; they made less money. And that's bad business.

So now the question becomes: Is there a product where the Kendall Jenner + protest pairing could have netted the business money? I think the answer is yes. It just isn't Pepsi.

Translating Brand Into Sales

Now I want to get tactical on how to get - how we translate that concept into getting them to buy. Let's say we have a weak brand. Nobody knows or cares about it (yet). Here's our new logo:

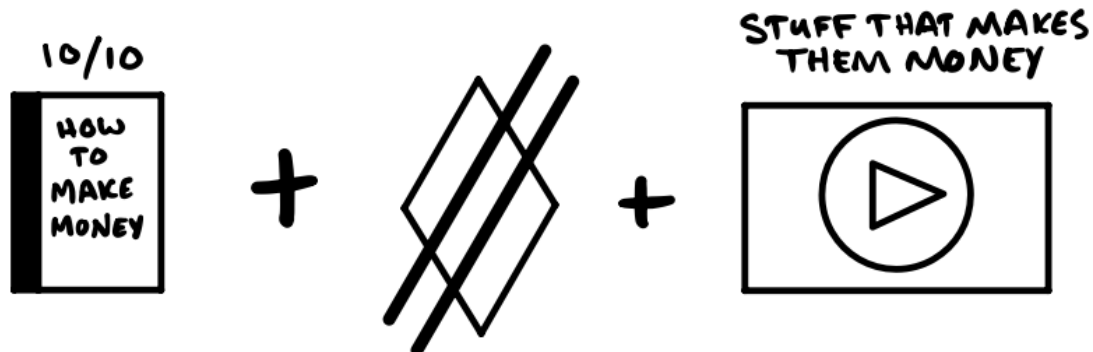


So now we want to pair with people, experiences, and other stuff that our ideal customer likes. Let's assume our customer wants to make money.



In this instance, we'll pair Elon and Warren Buffet, a couple of the richest people in the world. People who like investing, entrepreneurship, and money would probably respond favorably.

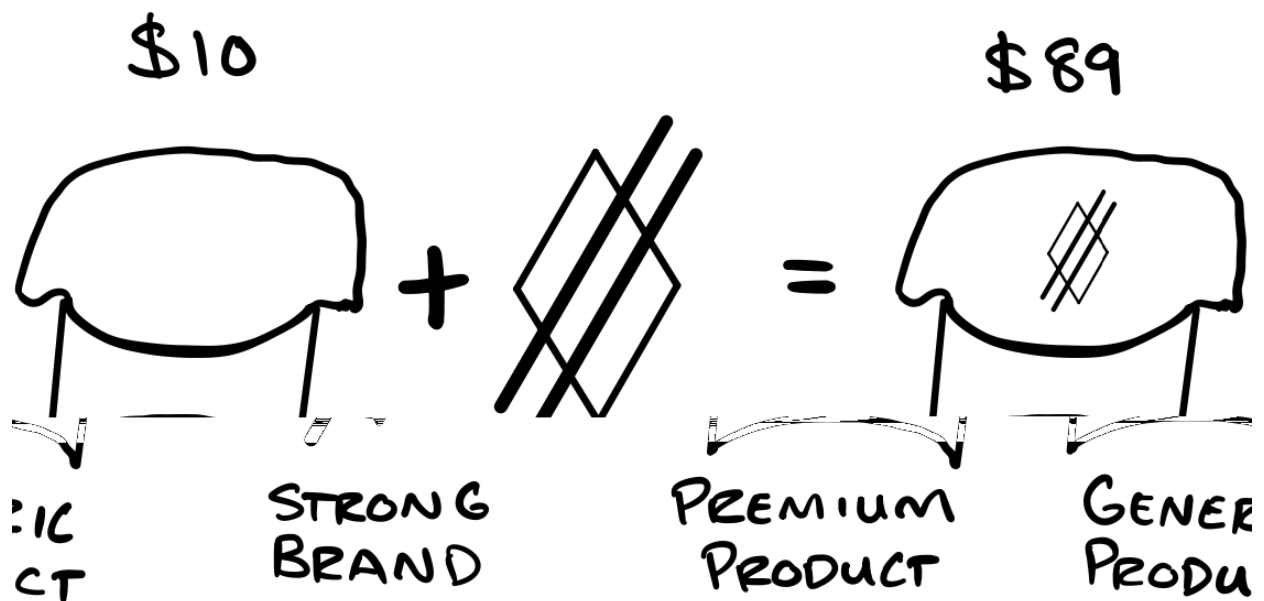
Let's *also* pair it with things people our ideal customers consume to get value from.



And for good measure, let's also pair it with outcomes our customers deem desirable.

Brand Equity *1* *---*

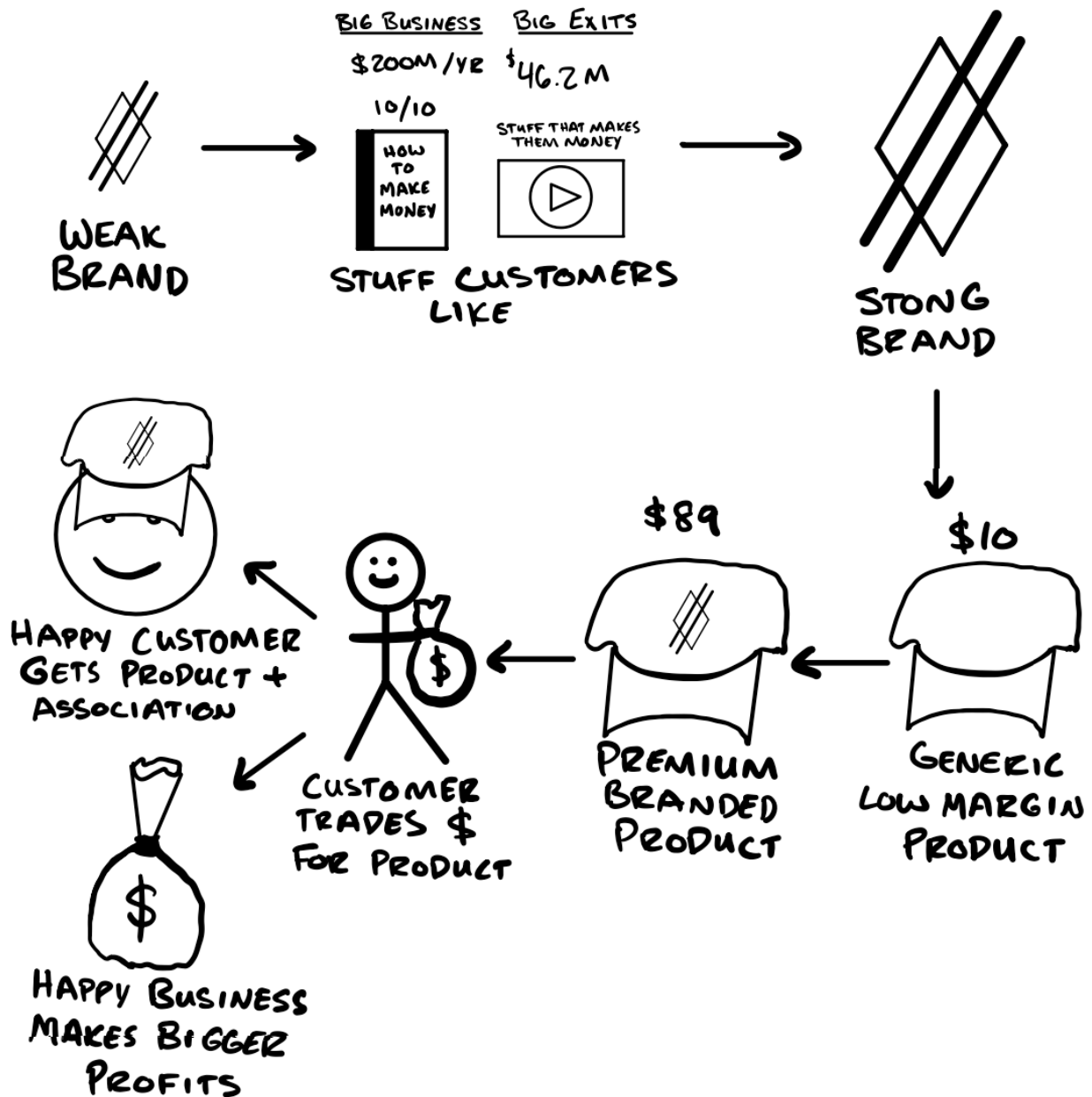
So how do we turn this into making money? You transfer some of the influence and reach of what you pair with your product into the product itself. Then, you deliberately pair the product with your audience using an offer. But we have a twist: a strong brand turns commoditized products (like a \$10 hat) into a premium product. And premium products get customers to want to pair themselves with the product. That way, they can associate themselves with the outcome the brand delivers, which they do with their money.



So how do they make that association? They give money, they get the hat, the association happens based on what they've seen, where that logo has been elsewhere. They wear the shirt. And go from "I want to be an ambitious entrepreneur/investor" to exchanging money and saying, "Now I am an ambitious entrepreneur," or "I feel like an ambitious entrepreneur." That's how this works.

This means that if the ideal customer likes making money, innovation, entrepreneurship, investing, etc., then they're more likely to buy stuff from a brand paired with those things.

Here's the entire process broken down step by step all the way to money:



Let's lay it all out:

- 1) You start with a brand that means nothing. You have a logo, just like the cow that the other person didn't recognize. People know that it is a brand; they just don't know what that brand means

- 2) You pair it with stuff your customers like.
- 3) Your brand starts to mean “thing the customer likes” to them
- 4) You buy a generic product.
- 5) You add your brand to the generic product transforming it into a premium branded product
- 6) Then the customers want to associate with that positively associated branded product
- 7) So they exchange their money for your premium product
- 8) They get the product and association
- 9) You get higher profits, from higher prices, because of those associations.

Bottom Line: As long as you net a positive between what it costs you to associate with the things they like (books., videos, people, experiences) and how many hats you can sell, you make money. In other words, as long as the increased profit from your premium pricing covers the cost to make the pairings, you branded yourself well.

Big Brand = Big Profits

This is a quote from Warren Buffett that I like a lot, kind of signifying some of the elements of the benefits of brand:

«The single most important decision in evaluating a business is pricing power. If you’ve got the power to raise prices without losing business to a competitor, you’ve got a very good business. And if you have to have a prayer session before raising the price by 10%, then you’ve got a terrible business.»

So let’s play out two scenarios: Unbranded Services vs. Branded Stuff.

	Price	Cost of Goods	Gross Profit	Ad Spend	CTR	Clicks	Conversion Rate	Sales	Gross Profit	Returns
Unbranded Thing	\$2,500	\$500	\$2,000	\$2,000	1%	100	4%	2	\$8,000	4 to 1
Branded Thing	\$5,500	\$500	\$5,000	\$2,000	3%	300	6%	18	\$90,000	45 to 1

Speaking from experience, branded returns on advertising are absurd. They just take time. And that's why no one does it.

So walking through this example. We have two things for sale from two companies. One that's branded for \$5500 and the other that's unbranded for \$2000. Our brand gives us premium pricing power, but our cost of goods is the same. So, we make significantly more profit per sale (+150%).

Next, we spend the same money on advertising - say \$2000. And from that we get 50% more customers at our higher price because people prefer to buy from us than our competition.

The difference between these two products is 4.5x the sales and 11x the returns on advertising. That's the difference a brand can make with the right audience. Not to mention, the branded one may get many future purchases from this customer at no extra cost while the unbranded one may lose sales to the next competitor who undercuts them by 10%. It's also why brands outperform commodities in every single industry and give a lasting competitive advantage that, to be fair, is theirs to lose.

So now that we have that covered, let's talk about starting, growing, and potentially pivoting your own brand.

How to Start, Grow, then Pivot Your Own Brand

«It takes 20 years to build a reputation and 5 minutes to ruin it.

If you think about that, you'll do things differently.»

- Warren Buffet

So, I said that I was going to cover three things:

- 1) What branding is (which we now know as «what good branding is»).
- 2) Why *good* branding makes you money.
- 3) How to start or grow your own brand.

We've covered the first two. Time for the third. So, now let's go to how to start or grow your own brand. Branding is the deliberate pairing of things (your thing plus what your ideal customer has). And good branding is the deliberate pairing of your thing with something good.

To start a brand, grow, or pivot a bad brand into a good one we have to:

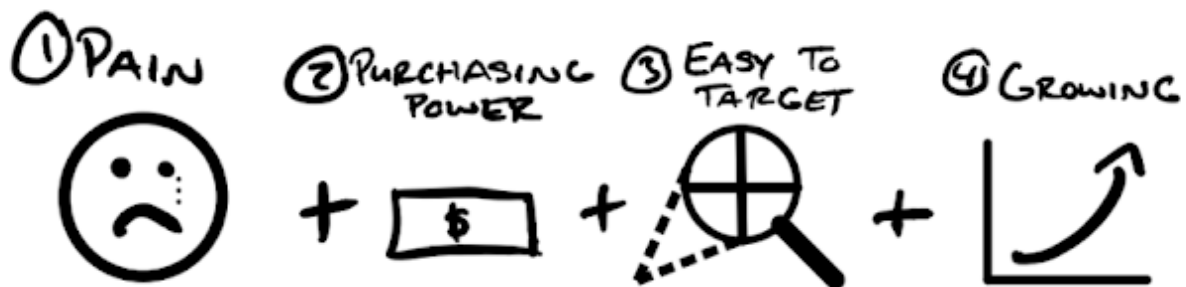
Step 1) Figure out who your ideal customer is

Step 2) Figure out what they like

Step 3) Associate your stuff with those things

Step 4) Optimize those associations for max profit

Step 1) Figure Out Who Your Ideal Customer Is



Whether you have no brand, or a bad one, you start the same way. Figuring out who you are trying to serve.

Let's say we own a business-law firm. Even though we could help everyone, it's unlikely to result in a profitable business. We'd have to be too many things to too many people. We want to narrow our avatar down so we can provide more value *per person*.

We want our audience:

1. Growing. Because if I have to pick between an audience that's shrinking, one that's maintaining, and one that's growing, well, shoot, I'd rather go after one that's bigger. Because even if I stay the same size, I'm still going to grow because the market's growing.

2. Have Enough Money. I want to make sure they can afford my stuff. I want people who are making money because if I want to charge a lot of money, they've got to have the money so I can charge it. Again, if I could go after poor people, medium people, rich people, well, I'd rather go after people who can afford it.

3. Easy to target. I want people who are easy to target. If my customers exist, but I can't find them... does it matter? I'd rather have customers I can put advertisements in front of with little effort.

4. In Pain. I want people who desperately want what I have to sell. I'd rather have competition because at least I know people are buying that thing. Now I just need to make it better. And most business owners aren't tough to beat. Again, if I could choose between hard and easy, I'd rather make it easy.

These are the four basic things: growing, they can afford it, they're easy to find, and they're in pain. So let's pick an avatar for our legal firm:

- 1) Growing- Baby Boomers - this is growing - check.
- 2) Money - check. Lots of businesses already serve this population.
- 3) Easy to find. Super easy-to-follow ads targeting older people.
- 4) Pain- Do aging populations have legal issues to contend with? Do they ever! And the businesses bear the burden of those issues. Check.

So great, this checks all the boxes. We've found our "who." *Assisted living centers* meet all our qualifications.

Author Note: For me, for example, I made content that began to get wider and wider. I stopped attracting as many business owners, and started attracting more wantrepreneurs. This was not my goal. So, I needed to pivot the stuff I was associating with to make sure that I was maximizing my associations with the stuff my ideal customers liked.

Step 2) Figure Out What They Like

Remember, we're a business-focused legal firm looking to acquire Assisted Living Center owners as customers.

So what do Assisted Living center owners like?

- 1) They probably like making more money.
- 2) They probably want to get more customers.
- 3) They probably want to make more profits.
- 4) They probably want to build a sellable business.
- 5) They probably want to have some help recruiting talent so that they don't have to work as much inside the business.
- 6) They probably have some issues retaining talent because finding high-quality nurses and nurse practitioners isn't cheap, and there's a lot of demand for them right now, especially in the private market.
- 7) They want fewer lawsuits.
- 8) They want to pay fewer taxes.

So these are some of the things that they like and some of the problems they're struggling with.

Step 3) Associate Your Brand With Relevant Things They Like

First, we make content geared towards this audience.

Second, we distribute it.

Third, we iterate it based on the target audience's responses.

Everybody wants to be in less pain. So now we build this brand by taking the perspective of the Assisted Living facility owners. For that reason, we start making content like:

- «Hey, here are some things that we see across our firm for the Assisted Living facilities that have helped lower costs *and* improve quality of life for residents.»

- «They actually can structure their accounting to depreciate their investments this way so they can save more money.»

- «Here's how people set up their floor plans. This actually makes it more efficient so they can house more residents per square foot *and* demand less of overworked staff.»

Etc.

I'm going to start making videos, blogs, articles, booklets, and PDFs. I'm going to start giving this stuff away. I'm going to start associating myself with the things they want and the things they need.

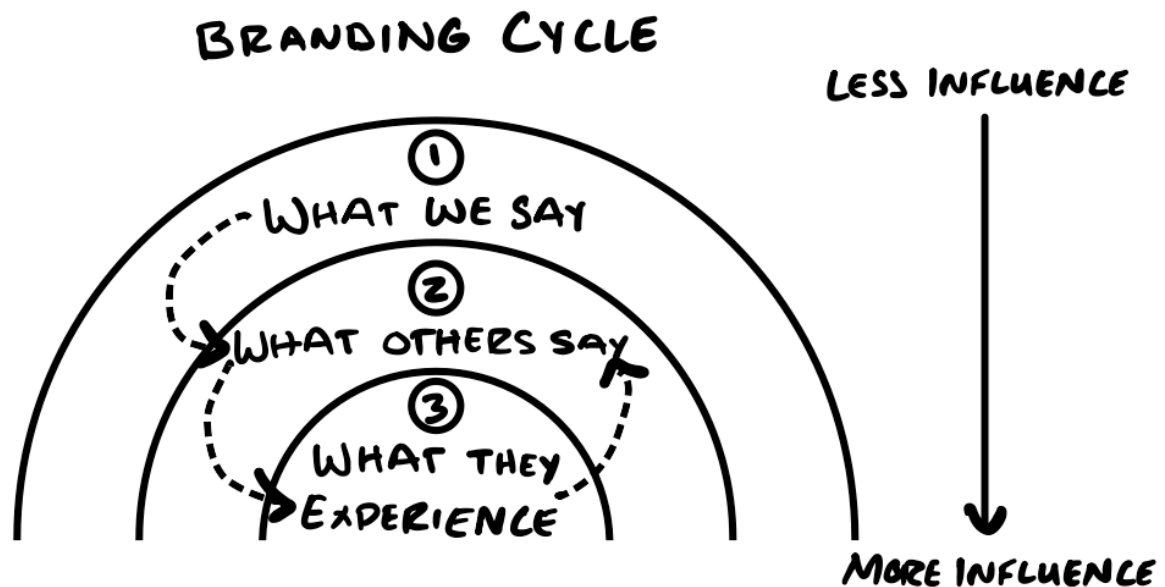
When I start doing this, people are like, «Wow, this stuff really makes my life better.»... and who do they think of when that happens? Our business.

Now, what happens is that as we build (and reinforce) this brand, we have to think about it from the perspective of the Assisted Living facility owner.

Levels Of Authority: The Branding Cycle

They might agree with our stuff at first, and even try it out. But becoming lifelong customers becomes another hill to climb. We want to make that climb as smooth as possible.

The strongest associations form (for better and for worse) when they involve those we know and trust. We can speed this up by using other sources they *do* know and trust. Although we have a broad continuum of options, I separate these sources of authority into 3 camps.



1. What We Say: This is me telling you, this is me advertising myself, this is me making my stuff known. That's the first level. It's also the least influential. Content, Ads, Outreach.

2. What Other People Say: What other people say to them matters way more than what you tell them. (Affiliates, and other customers)

3. What They Experience Themselves: A person's own opinion of their experience has, by far, the most authority. This determines what they tell others and governs advertisements over the long haul.

This cycle occurs whether you have good branding or bad, so let's explore that for a moment.

Good branding: If you advertise successfully, you get the first sale. You deliver on your promises and *good*

Bad branding: If you advertise successfully, you get the first sale. But... you don't deliver on your promises and *bad* branding occurs. They make a strong *negative* association, then they never buy again and discourage others from buying. This becomes a *vicious cycle* with each customer chipping away at your reputation. Warren Buffett says: "*Your premium brand had better be delivering something special, or it's not going to get the business.*" I'd add: It won't keep the business. You might get the first purchase, but not repeat ones. If charging premium prices, I like to make sure my product is exceptional. I want it to *reinforce* my brand. At worst, I avoid conflicting with my brand. Because your reputation can only get you so far, at some point you have to deliver.

Bad products make it harder and harder to get customers. Not only does acquiring new customers get harder, but you don't have your first set of customers buying again and again. This makes it hard to do business.

Brand Goes Both Ways. Your brand influences the likelihood someone buys the product. Then, the product influences how they see the brand again in the future. It also affects everything around it. If someone refers your product to them, they will see that person differently based on how good or bad your product is. If it sucks, they'll hate them for making the recommendation. If it's good, they'll be more likely to take recommendations again and they'll think more fondly of the person.

They'll also see the product based on the person who makes the recommendation. For example, if a porn star recommends an accounting firm, I may assume it's an accounting firm for porn stars. Because of this two-sided relationship, you need to decide what values, people, experiences, etc., that you want to use to connect the audience to your product, and equally importantly, what things you want to avoid, remove, or ignore from the stuff they hate.

Your advertising has a stronger influence on your brand in the short term. Your product has a stronger influence on your brand in the long term. Main reason: people will have far more impactful experiences with the product than your advertisements.

After all, the advertisement can let people know about it. The branding makes a good association for the person. They make the purchase, and then afterwards, the product does a lot of the branding after that. Because if I buy that amazing hat and there's a hole in it when it comes, I might say, if this is the first time I ever bought a hat from this company, "This product sucks, therefore brand sucks." Then I think the whole thing is a sham. Then I start to hate everyone who recommends it. Which means, yes, branding goes both ways.

I already covered quite a bit to help you *start* a brand. But to *grow* a *good* brand, you have to make promises...and *keep them*...over and over again.

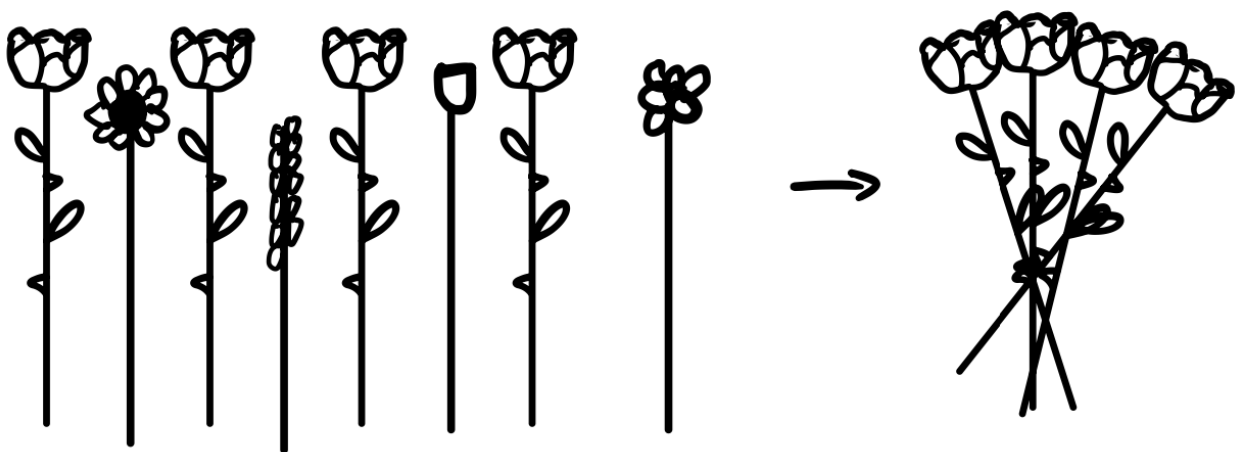
Step 4) Optimizing Your Associations For Max Profit

If we wanted to position our business to have a larger addressable market, which we do, *it means more possible customers*, we have 5 options. Let's use our Assisted-Living Law Firm to show what each might look like.

- 1) Up Market - Larger customers. Ex: Multi-location assisted living owners.
- 2) Down Market - Smaller customers. Ex: At-home care and mobile assisted living owners.
- 3) Adjacent - similar market, but slightly different. Ex: rehab facilities.
- 4) Broader - the entire category. Ex: all senior living centers (hospice, end of life, retirement)
- 5) Narrower - a slice of your existing market. Ex: Assisted living with 100-500 residents.

To make any of those moves, you would need to start associating with things that your *new* market/avatar liked. This means that your core audience would change. So, your brand should change too. Here's how I think about it - like a bouquet of flowers.

The Bouquet Metaphor



I think about branding like assembling a bouquet of flowers. On their own, flowers are not a bouquet, just as products, values, experiences, people, etc., on their own are not a

brand. And just as tying many flowers together forms a bouquet, so too does tying products, values, experiences, and so on form a brand.

What we choose to include, from where, and how much, influence the brand we ultimately create. If we want to get narrower on our brand - let's say I want to only deal with Assisted living in a particular state, or only assisted living with a particular business model, or over a certain size, or only owned by funds. If I want to narrow my brand, I'll just talk a bunch about those specific things and nothing else. And then all of my flowers are just specific-thing-related. So think about it like having a bouquet of lots of colors of roses, to only a bouquet of red roses. Over time, my brand *narrows*.

Now let's say I want to expand my brand and maybe capture a broader audience. I might talk about all types of retirement homes, end of life, hospice and the other categories of living situations for senior citizens. And then if I wanted to expand even broader, I might just talk about real estate build communities in general. And then I might talk about investments in general and go wider and wider from there. With our bouquet analogy, this would be bringing in all sorts of flowers, not just roses, into the bouquet.

If I wanted to go to an *adjacent* market, I might only talk about things specific to end of life facilities. For our bouquet, we'd slowly switch from red roses to yellow roses. Still roses, but a different type.

If I wanted to go *up* market, I might only talk about problems multi-location owners benefit from.

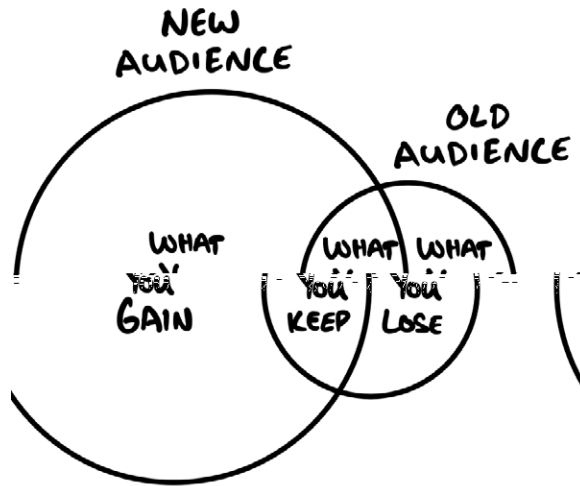
If I wanted to go *down market*, I'd talk about more stuff that smaller providers, mobile care, and at home care people might find value in.

No matter what we do, we make sure the flowers match the bouquet we want to build. Because if we don't, and, we include sticks, and weeds, we will create bad pairings that distort the clarity of our bouquet, making it worse overall.

Brand Pivots: All About Net Changes in Audience

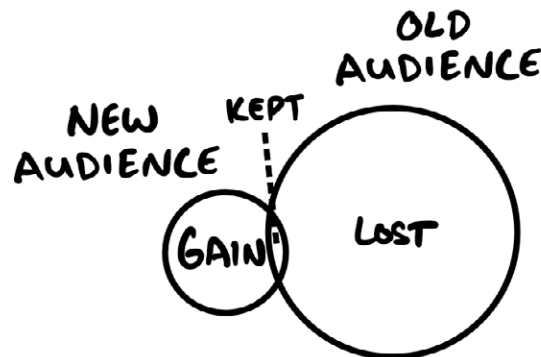
When I started branding, I only made business content. As I got bigger I started touching on other topics. Views followed. But, I realized it was the wrong views. So, I recentered my content around only business. And unsurprisingly, more business owners paid attention and had positive associations with my brand again. Constantly monitoring how your audience responds to your content is important. It's how you keep a brand healthy and moving in the right direction *on purpose*, rather than *by accident*.

And when you make a move, only two things can happen. You can gain more than you lose, and you can lose more than you gain. One-for-one swaps only happen on paper. We want to make sure we're net positive on all moves we make. To give you a visual, we want the first image below. We want to avoid the second.



Gaining more than you lose. A good trade.

If anyone's seen a small town band hit it big, some of the original fans *always* take issue with you. They say things like "They sold out," or "They're corporate puppets now," or whatever. By taking the opportunity to play on the big stage, they took a gamble. Does topping charts, going on world tours and earning a lifetime of financial security justify irritating a few locals? A harder gamble to take than you might think, by the way. In any case, they gambled the loss of *some* of their local audience for exposure to a much bigger and broader audience. And they did lose some of those locals, but they gained way more than they lost. Something similar happened to me when I went from making rant videos in my closet to full on productions about business. Some people only wanted the closet videos, but more business owners preferred the better sound and video quality.



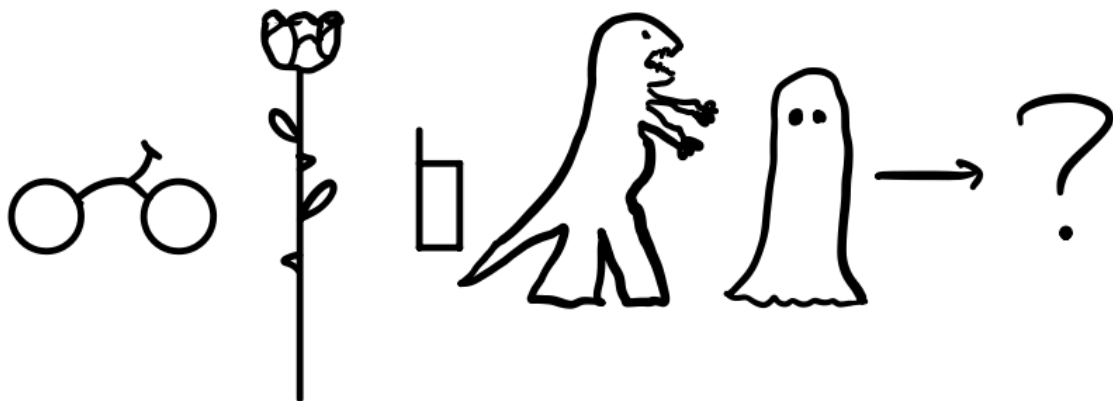
Losing more than you gain. A bad trade.

If that same band tried new music, they make yet another gamble. Some people would like this change. Others... not so much. And if more people hate it than like it then *they got problems*. This is what happened to Pepsi with their Kendall Jenner Protest ad.

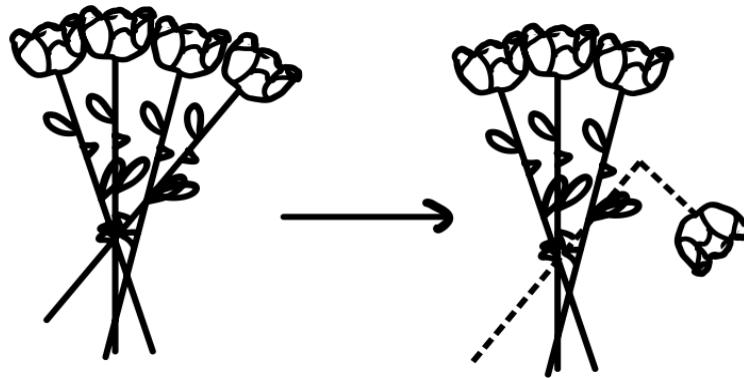
You have a straightforward and reliable path to growth when you rely on doing more of what already works, doing it better, and showing it to more people. You have a higher risk and possibly higher reward path to growth through *change*. But when you make brand changes, you really make brand *bets*. And you bet that you'll gain more of a following than you lose, and the following you gain will feel strongly about the stuff you have to sell.

Bottom line: Losing audience is a part of life. You just wanna make sure you gain more than you lose. Don't let the five mean comments stop you from gaining the 500 new people who like the new thing.

Dealing with Branding Mistakes

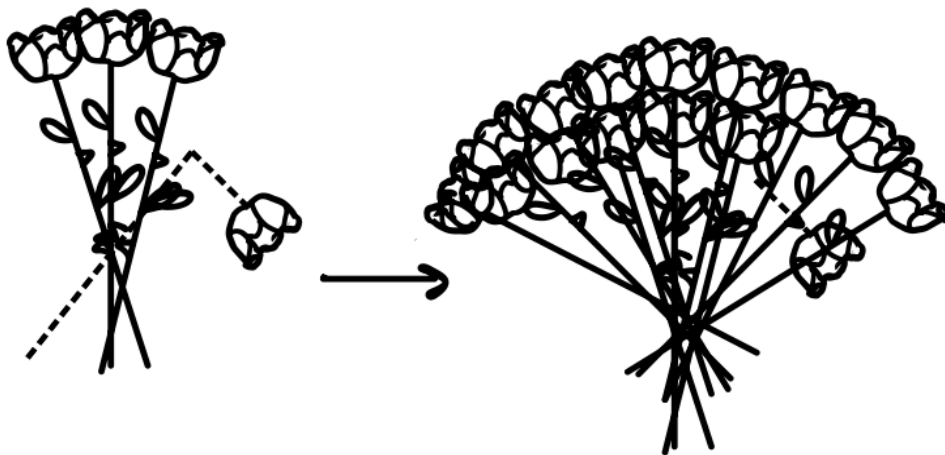


Most people's brands happen by accident. It's just whatever they appear next to, whatever people associate their stuff with. They take every podcast. They sell any customer. They talk about whatever's trending. And, surprisingly to them, no one has any idea what they're about.



Now, what if we make a branding mistake and pair with the wrong thing? Because it's going to happen. One bad pairing can absolutely hurt a brand. If I now give this lovely red rose bouquet to my wife and I say, "Hey, don't you love this bouquet?" and she sees this rotten flower sticking out the front, she might be like, "Ew, this bouquet sucks," or "This brand sucks," or "Hey, that guy got a DUI, and I thought he was this paragon of good ethics." Well, that would hurt the brand.

Just like one ugly flower messes up the whole bouquet, it changes how everyone sees the brand. This bouquet sucks now. To recover from something like that, you just have to overwhelm customers with the stuff they like until eventually the bad pairing shrinks into irrelevance.



We don't try and eliminate the DUI, we don't try and eliminate the dead rose. It happened; there's nothing we can do about it. But what we try to do is to just overwhelm it with way more of the stuff that the majority of our people actually like.

Kanye West, for example, has said some things that people don't like, but he also comes out with products that people love. He made a Super Bowl ad, he sold shoes, he just came out with an album that came out after 'getting canceled.' But over successive pairings the good stuff minimizes the bad stuff... *and people still buy.*

Final Step: Patience

Branding has higher returns than direct response advertising *if you measure over a longer period of time*. So in the short term, if you just make associations, you might not make as much as making a crazy offer. But, over time, how well you deliver, and the people who talk about your brand, and the promises you make and keep, will be the things that build your reputation. They build what people associate you with - your brand.

When you do this right, you...

- Get higher click through rates on all advertising (outbound, content, and ads)
- Get higher closing (over the phone, in person, or on check out pages)
- Close at higher prices (how much higher depends on the strength of the brand)
- Get people to keep buying from you again...and again...and again
- Get cheaper customers than everyone else does and make the most from them
- Get increasingly large customers over time
- Get new customers you otherwise wouldn't from compounding word of mouth
- Attract the best talent on the market because they *want* to work for the best
- Build an asset that *itself* has value

When you do this wrong, you...

- Ward off good customers
- Attract bad ones
- Pay more for customers than you should *today*
- Pay more for customers *over time* as *negative* word of mouth compounds faster than any other marketing. You'll just think you need some new marketing hack,

but actually people who would've bought are now not buying because of what people are saying.

- Lose customers on the back end
- Need to keep running new crazy offers to get customers
- Always struggle to get good talent because real players don't want to work for you
- Constantly consider changing businesses

To be clear - my brand didn't magically appear - it was *deliberate*. And the steps in this playbook are the exact steps I took. Once you know *who* you want to serve (step 1), what they like (step 2), and you advertise yourself with it (step 3), you'll have a growing brand. And at that point, all you do is adjust (step 4). You *prune your bouquet*. You remove things your ideal customers don't like and add the things they do.

There is no magic here. It's teaching people what you are about. And repeating it every day until the end of time. Because every day, you'll have people who just found you and have no idea who you are. And you have to serve them the same way you did your "OGs."

Follow this playbook and you will build a brand that's worth something. And you'll reap the benefits all of these mega brands have. More clicks. More sales. Higher margins. More re-purchases. All, for the lowest costs. And that, is everything you need to make an enormously profitable business.

Stay awesome. Until next time.

-Alex

PS - I have a one-page you can tear off as your branding roadmap on the next page.

DO YOU WANT TO SCALE YOUR BUSINESS?

Having a strong brand is like a license to print money. You get higher response rates. Higher conversion rates. At higher prices. And people keep buying from you more. That being said, there's a right and wrong way to do it. A way that makes you money (how a few rich people do it). And a way that costs you money (how most people do it).

If you'd like my help building the right brand for your business,

BOOK A 1-ON-1 CALL AT: **[ACQUISITION.COM/SCALE](https://acquisition.com/scale)**.

You can also scan the QR code if you hate typing.

One Page Branding Checklist

Figure out who your ideal avatar is. Ideally a market that is:

- Growing
- In Pain
- Can afford your stuff
- Easy to find

Figure out what they like

Associate yourself with the stuff they like through

- Making content they like
- Making products they like (both free and paid)
- Appearing next to people they like

Grow your influence and direction - strategically associate with bigger things that the largest group of your potential customers like. You can go in five directions:

- Up market
- Down market
- Broader market
- Narrow market
- Adjacent market

To grow your reach even more...do *more* advertising. Let more people know about the good stuff you have for them and how you associate with the people, values, and products they like.

Make your products match your promises, so you create a virtuous cycle of branding

What you say What other people say What they say

When you make mistakes (which you will), don't shrink away. Double down on what they like.

Wait five years and don't give up.